INNOVATION

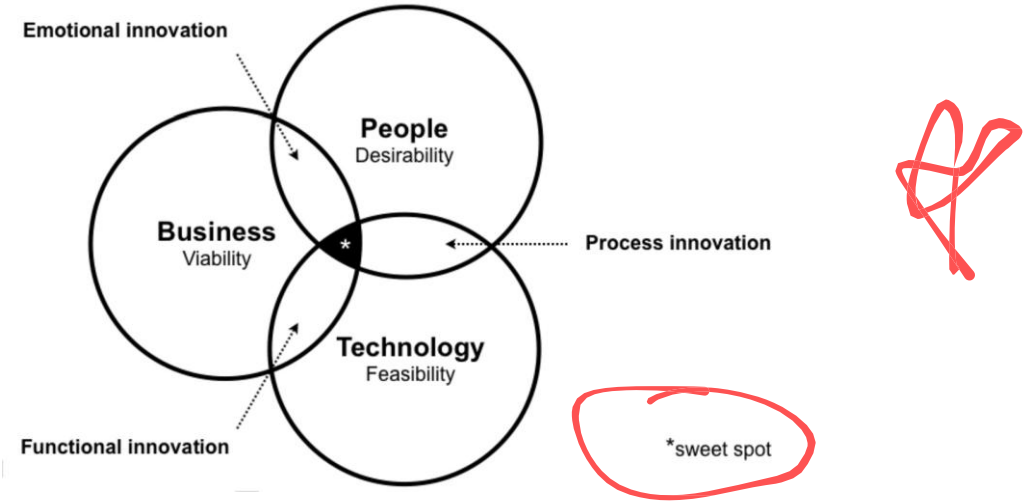
INTRODUCTION

- Innovation is the creation of something that improves the way of life.
- Innovation creates the new or original value.
- Innovation is a process of converting creative ideas into reality.

Innovation is the commercial application of an idea that improves existing products or even creates new products, services, or industries. Nowadays, innovation is a must for the success of any organization.

An innovative idea is desirable, feasible, and viable. A desirable idea is one that customers need, a feasible one uses the existing technological capabilities and a viable idea is profitable.

These three dimensions intersect in "*the sweet spot of innovation*".



Differences between creativity and innovation

CREATIVITY	INNOVATION
Creativity is an act of thinking about something new	Innovation is an act of creating something
Imaginative Process	Productive Process
No resources (Finances, Skills etc.) required	Multiple resources may be required
No risk factor	There will be risk
Example: Thinking about creating new motorcycle	Example: Actual invention of new motorcycle

Dolin's Innovation frame work

Market \ Technology	Existing	New
New	**Architectural innovation** • Application of Existing Technology to the New Market • Very common (just changing the architecture) • Example, Digital watch replacing Analog watches.  	**Radical Innovation** • Creation of New Market • It leads to technological Breakthrough. • Example, SKYPE, 3-D Printing, IoT
Existing	**Incremental Innovation** • It involves a series of small (less important) improvements which eventually leads to important innovation. • It takes time. • It doesn't require huge R&D budget • It doesn't require dedicated man power.	**Disruptive Innovation** • Creation of New value system. • It Disrupts the existing market. • Example, Tour taxi booking services transformed by Real time ride sharing online app (UBER) • Example, Rental business of videos is transformed by Netflix.

Types of Innovation

I. Product Innovation

1. What is product innovation?

Product innovation is a type of innovation that is more noticeable for the consumer and it is related either to **the enhancement of a company's older products**, either to **the development of new products** which are based on new technologies or which solve new needs of a consumer.

Product innovation occurs as a reaction to multiple factors – for example, a consumer's needs are determined by **social, cultural** or **economical factors,** while at a business and organisational level, **product innovation** is performed when its purpose is the expansion to new market segments or the attainment of competitive advantage.

When **product innovation** is conducted through the development of a new product, it can either **solve an older consumers' problem in a new** (innovative) **way,** or **solve a new consumers' problem**, which occurred as a consequence of the evolution of the factors previously mentioned – social, cultural and economical.

2. Examples of product innovation

E-Readers

E-Readers are part of both of these categories – **innovative products that meet an older need in a new manner** and **a new need**, which occurred as a result of the evolution of the social, cultural and economical factors.



The older need is that of reading. If we were to think about it, until the first E-Readers emerged on the market, reading was happening in the same way from the beginning – on paper or other physical surfaces. Well, with the evolution of technology the possibility of creating this type of **digital solution to an older "problem"** emerged.

We can also talk about a new need – the need for reading "on the go" which occurred with the increasing flow from the cities. A book can be read in the same manner indeed but the e-readers also offer, besides the comfort of reading, the comfort of having a huge number of materials stocked on a rather small device.

Apple

Apple is probably one of the companies which have the most well-known product innovations. Starting from the role that the company had in the evolution of the first personal computers in the 70s, to all the types of smartphones they released in the past 10 years, **Apple is surely a leader on the market when talking about product innovation.**



First of all, Apple is one of the pillars of **product innovation that deals with the development of new products and new technologies**. Both the first Macintosh, Macintosh 128k and iPhone, also called iPhone 2G are products that changed the game and revolutionised the industry.

What is more, Apple also excels when talking about **product innovation that is developed by improving pre-existing products**. This can be easily observed at the new characteristics and pieces that are added at each new iPhone.

II. Process Innovation

1. What is process innovation?

Process innovation focuses on the innovation of facilities, skills and technologies used for the production and delivering of products and services. As opposed to product innovation, the effects are not as noticeable to the consumers.

Product innovation can result in a decrease in production cost and time and the improvement of certain processes or the elimination of certain barriers from the production process or consumption.

Most of the times, process innovation is performed either within the equipment used, either within the technologies used for developing the product or even within the methods used by the employees.



2. Examples of process innovation

McDonald's

McDonald's is a **classical example of process innovation.** Even though a few burgers and some fries do not seem to require a serious process.

The process itself is the one that helped Ray Kroc convince the McDonald brothers, Richard and Maurice, to sell their McDonald's franchise at the end of the 40s. You can observe the food's production process that made a difference between McDonald's and the other fast-foods in the sequence below, from the movie *The Founder*.

Another **example of process innovation** achieved by McDonald's is a call-centre in a town close to Los Angeles, which takes over the drive-through orders from multiple restaurants across the USA. This call-centre pick up the orders remotely and transmits them back to the same fast-food. This helped them win a few additional seconds for each order.

Google

Process innovation does not need to be present only the production's process case. It can be carried out in any type of process involved in a company, including processes that are related to the employees and human resources.

One such **example of process innovation in HR** comes from Google, which offers its employees 20% free time from their work to focus on personal projects. In 2004, its founders Larry Page and Sergey Brin transmitted their idea through a letter:

We encourage our employees, in addition to their regular projects, to spend 20% of their time working on what they think will most benefit Google. This empowers them to be more creative and innovative. Many of our significant advances have happened in this manner.

Multiple Google products have indeed occurred as a consequence of this 20% time off. Among these, we must mention Gmail, Google Maps, Google Talk and Adsense, the last one being responsible for almost 25% of Google's annual income.

3. The relationship between Product Innovation and Process Innovation

First of all, let's talk about the differences. As we have previously mentioned in the beginning, **the main difference between product innovation and process innovation** is the fact that product innovation is truly noticeable to the consumers. For example, in the case of McDonald's, we can say that the consumers receive the same burger, even though it has been prepared in one way or the other.

Speaking about the same example, we can say that **process innovation facilitates product innovation.** In an article, Ivey Business Journal gives an example of Samsung which says: "If we were to give up our production, we would lose." This highlights the fact that those who have a competitive advantage through product innovation, would lose their advantage if they would ignore the production part. By keeping these departments "in-house" you will avoid the emergence of products that are similar to yours.

Conclusion

What you must keep in mind is the fact that **these types of innovation can go hand in hand with each other or they can be extremely different.** They are indeed two of the multiple types of innovation, but they are two of the most used ones as they work with tangible resources.

III. Business model Innovation

Business Model Innovation is a very popular type of innovation, especially in the last few years, that deals with the way in which a company delivers value to its clients (products and services) and the way in which it captures value (profit).

Business Model Innovation is about changing industries, customer segments, or revenue sources, where the company can test different ways of monetizing the same product or service.

The most famous examples of Business Model Innovation are companies like Uber, Airbnb, and Spotify which completely changed the way in which some industries work (look at taxis, hotels, and the music business).